

Dollar, Eurodollar, and the Myths of Petrodollar and De-dollarisation

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Since the attack on Iran by Israel and the United States (us) that began on 28 February 2026, there has been intense debate regarding petrodollar and de-dollarisation. Our objective in this brief note—based on publicly available data—is to show that there has been no such thing as the petrodollar, and that although the us dollar's dominance has been eroding for some time, the world has not yet reached a point of global de-dollarisation.

Rise of the US Dollar

The dollar's ascent to global dominance began with the onset of World War I (wwi) in 1914. As Öncü and Öncü (2022) summarise, three key developments marked this period. First, during wwi (1914–18), the us alone maintained the gold standard at \$20.67 per troy ounce, while all belligerents, including the United Kingdom (uk), the then hegemon, suspended it. By 1920, the unrestricted us gold standard had transformed the dollar into a major international reserve currency, second only to the pound sterling (Crabbe 1989). Second, after the 1918 armistice, a desire to return to gold emerged to escape currency wars, hyperinflation, and capital flight (Capie 2002). Third, although major powers—the uk in 1925 and France in 1928—rejoined the gold standard in the 1920s, the Great Depression that started in 1929 destroyed this attempt, and the uk exited in 1931.

By 1919, the us had accumulated a net creditor surplus of \$6.4 billion, having previously owed \$2.2 billion, and held nearly 40% of the world's monetary gold stock, up from about 23% (Figure 1) before the war (Crabbe 1989). Consequently, the dollar had begun displacing

the pound sterling as the preferred currency for trade invoices, settlements, and central bank reserves, establishing the basis for its eventual global dominance.

Bretton Woods Gold Exchange Standard

In 1933–34, the Roosevelt administration suspended domestic gold convertibility, restricted private gold ownership (a ban that persisted until 1974), centralised gold holdings in the us Treasury, and devalued the dollar against gold from \$20.67 per troy ounce to \$35, thereby ending the unrestricted gold standard while preserving the dollar's international gold link.

The result was a restricted gold standard in which foreign central banks and governments—but not private individuals, unless licensed—could still convert dollars into gold. By the time of the Bretton Woods Conference in 1944, the us held roughly two-thirds of the world's monetary gold stock (Figure 1), largely because decades of war finance, trade surpluses, and gold inflows—primarily from Europe—had concentrated global monetary gold reserves in the us.

The Bretton Woods Conference therefore did not create, but rather institutionalised, an already existing gold-linked, dollar-centred international monetary hierarchy.

The agreement also reflected a hard physical reality. The us emerged from World War II (wwii) with its industrial infrastructure intact and expanded, while Europe and Japan lay in ruins. American manufacturing accounted for over half of global output. Dollars were not just convertible into gold; they could be spent on the machinery, steel, wheat, and oil that only the us could reliably

supply. For recovering and developing economies, there was no alternative currency and no alternative source of goods.

Emergence of Eurodollar Market

Although the accumulation of foreign currency deposits outside the currency's domestic banking system had a long history, there had been significant growth in such deposits in the interwar period in Europe—notably in London. This practice ended with the imposition of exchange controls and the collapse of the international monetary system in the 1930s (Schenk 1998), before resurfacing in the early 1950s.

Altman (1961) argues that banks in Italy were perhaps the first in Europe to borrow dollars, in what have since come to be called Eurodollar transactions. While the exact time and location of the dollar's European resurgence remain debated, the market likely owes its name to the Soviet-owned Banque Commerciale pour l'Europe du Nord (BCEN) in Paris, whose telex address was “EUROBANK.”

The Soviet ownership of BCEN was no coincidence. During wwii, the Yugoslav government-in-exile sent its gold to the Federal Reserve Bank of New York for safekeeping after Germany invaded Yugoslavia in 1941. After the war, with Yugoslavia under communist rule, the us froze this gold in 1948, sending a clear warning to the Soviet bloc: dollar assets held directly in the us were vulnerable to seizure. To protect themselves, Soviet bloc countries began moving their dollar holdings out of us banks and into European banks—most notably BCEN in Paris and the Moscow Narodny Bank (MNB) in London, also Soviet-owned.

Three developments transformed the Eurodollar market into an active, large-scale money market. First, in June 1955, Midland Bank began actively soliciting dollar deposits from non-residents in London for interest rate arbitrage. The Bank of England granted tacit approval in July 1955, recognising that this would bring dollars into the uk banking system and improve its dollar reserves (Schenk 1998). Second, when in 1957 the Bank of England restricted British banks from

using sterling to finance international trade, banks began extending credit in dollars to finance global trade, creating new dollar deposits in the process. Third, following Midland's lead, us banks also started offering higher interest rate dollar deposits to their clients in London, particularly from the early 1960s.

Whether Eurodollar or not, banks do not lend the deposits they collect, but rather, they create deposits by extending loans or purchasing assets (Öncü 2017). Although the Eurodollar market is exempt from us regulations, in order for payments to be made using Eurodollar deposits held at a bank outside the us, that bank must have a correspondent bank in the us (or work with another local bank with a correspondent bank) to obtain dollars. This is because the final dollar settlement occurs either on the books of the Federal Reserve Bank of New York or internally on the books of a single us correspondent bank. If the us had decided to freeze all dollar claims held by Soviet bloc entities, could it have reached through MNB and BCEN? The legal answer is complicated, but the operational reality is simpler: the dollars never left New York—the Soviet bloc was hiding from the us Treasury inside banks in Europe. Ironically, MNB and BCEN's corresponding dollar assets sat in correspondent accounts at us banks in New York, directly or indirectly.

Collapse of Bretton Woods

The Bretton Woods system contained a structural contradiction, first identified by Belgian-American economist Robert Triffin in the late 1950s. Under the gold exchange standard, supplying the growing global economy with sufficient dollar liquidity required a continuous expansion of dollar claims held abroad. Yet, maintaining confidence in gold convertibility required limiting those claims relative to us gold reserves. Either path led to instability: restricting the international supply of dollars risked global deflation, while continued expansion risked a run on us gold.

Triffin made two predictions: first, Bretton Woods would collapse; second, the breakdown would come through deflation, as the us raised interest rates

to defend gold convertibility, choking global liquidity. Only the first came true. By the late 1960s, foreign dollar claims had exceeded us gold reserves (Figure 2). Foreign central banks, led by France, began converting dollars into gold, steadily draining us gold reserves.

However, the mechanism of collapse was not the one Triffin had predicted. The us did not raise interest rates and restrict dollar supply. Quite the contrary. The end came on 15 August 1971, when President Nixon suspended gold convertibility for foreign official holders—the so-called “Nixon Shock.” The dollar's link to gold was severed and the Bretton Woods system collapsed.

There is a further twist. Contrary to the textbook version of the Triffin dilemma, the us did not finance Bretton Woods-era global dollar liquidity primarily through persistent current account deficits. Indeed, with the exception of 1971, the us ran current account surpluses throughout the Bretton Woods period. Dollars accumulated abroad not through deficits but through reconstruction loans, the Marshall Plan (DeLong and Eichengreen 1991), military spending, capital outflows, and the offshore Eurodollar market, whose emergence we have documented.

Bretton Woods was thus brought down not by us deflationary prudence but by us inflationary profligacy (Bordo and McCauley 2017). And it was resolved not by a return to gold but by the transition to a purely fiat dollar system, whose offshore dimension had already been prepared by the Eurodollar market.

Petrodollar or Not?

Following the 1973 oil shock, the us and Saudi Arabia signed a broad military and economic cooperation agreement on 8 June 1974. The following month, us Treasury Secretary William Simon secretly secured Saudi agreement to recycle its dollar revenues into us Treasury bonds—the arrangement that later became known as the “petrodollar system” (Wong 2016). While the term “petrodollar” could have been a useful shorthand for “oil revenues in dollars,” it has since been elevated into a system that

supposedly underpins the us dollar's global dominance, because surplus oil exporters who are paid in dollars will recycle them through us Treasury bond purchases, thus helping to finance us trade deficits (Norrlöf 2024). Contrary to popular belief, however (although at the time, about 25% of Saudi Arabia's oil revenues were in pound sterling), the July 1974 agreement concerned only the investment of those revenues—not the currency in which oil was sold. In fact, the us was the first major oil exporter and dominated global supply for decades. Consequently, oil had already been priced and largely settled in dollars from the very start of the modern oil trade in the 1860s (DeMis 2020).

Let us now go back to the collapse of Bretton Woods to better understand the true origins of the foreign holdings of us Treasury securities. After President Nixon closed the gold window on 15 August 1971, the world's leading economies attempted to salvage fixed exchange rates through the Smithsonian Agreement of 18 December 1971. The us devalued the dollar by raising the official gold price from \$35 to \$38 per ounce, other major currencies revalued upward, and trading bands widened from $\pm 1\%$ to $\pm 2.25\%$. This was meant to restore stability, but the agreement failed within 15 months. Speculation against the dollar intensified, and European central banks—especially the German Bundesbank—were forced to buy massive amounts of dollars to defend their new pegs.

These intervention dollars accumulated in foreign reserves, and central banks invested them in us Treasury securities. On 2 February 1973, the Bundesbank announced that it would no longer intervene to hold the dollar at its Smithsonian parity, allowing the

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German mark to float on 2 March 1973. The us devalued the dollar a second time on 12 February 1973, but it was too late. By March 1973, major currencies were floating freely, and the Bretton Woods gold exchange system had died. The new fiat system was born. Figure 3a shows foreign holdings of us Treasury securities from December 1939 to December 1971. For three decades, they remained relatively stable, fluctuating between \$2 billion and \$13 billion. Then, in 1971, a sharp jump occurred. Foreign holdings tripled in 18 months—from \$14 billion in June 1970 to \$46.1 billion in December 1971—well before the 1973 oil shock and before the July 1974 us–Saudi agreement. The petrodollar narrative cannot explain this sudden increase. The spike coincided instead with the collapse of the Bretton Woods system and the Smithsonian Agreement of December 1971, as foreign central banks accumulated dollars to defend their new currency pegs.

Figure 3b shows total foreign holdings from December 1971 to December 1999. After the Bretton Woods collapse, holdings grew steadily from \$46.1 billion in December 1971 to \$1.27 trillion in December 1999. The growth was relatively gradual through the 1970s and 1980s, but a notable acceleration began in the mid-1990s, during the Clinton administration, as globalisation and financial deregulation deepened. Crucially, the July 1974 agreement left no visible mark on this trend. Between December 1971 and December 1974—the period surrounding the supposed “petrodollar deal”—foreign holdings grew only modestly, from \$46.1 billion to \$58.8 billion. If the July 1974 agreement had created a sudden surge in demand for us Treasury securities, one would expect a clear break in the data. No such break appears.

The figures indicate that the accumulation of us Treasury securities by foreigners was a gradual, multi-decade process driven by the dollar’s established role as the world’s primary reserve currency and later accelerated by the financial globalisation of the 1990s—not by a single agreement with Saudi Arabia.

Having dispensed with the petrodollar myth, we now turn to the question of de-dollarisation.

De-dollarisation?

One of the main arguments for de-dollarisation is the falling share of the dollar in the world’s total official foreign exchange reserves. In Figures 4 (excluding gold) and 5 (including gold), we look at the composition of official reserves.

Figure 4 shows that between 2000 and 2025, the dollar’s share of global official foreign exchange reserves (excluding gold) fell from roughly 71% to 57%. At first glance, this appears to support the de-dollarisation thesis. Yet, two observations complicate that interpretation. First, the decline has been gradual, averaging little more than half a percentage point per year rather than reflecting a sudden collapse triggered by a major crisis or geopolitical rupture. Second, no alternative currency has emerged capable of displacing the dollar at the centre of the international monetary system. The euro has remained broadly stable at around 19%–20% of global reserves, the Japanese yen at roughly 4%–6%, while the Chinese yuan—despite sustained internationalisation efforts and the development of alternative payment arrangements—still accounts for only about 2% as of 2025. The dollar’s dominance has therefore eroded at the margins, but the international monetary system remains fundamentally dollar-centred, even before considering the role of gold in official reserve composition.

Figure 5 depicts the composition of official reserves, including gold, from 2000 to 2025. The dollar’s share fell from 60.8% to 42.4%, while gold rose from 14.1% to 25.3%, although part of gold’s rise reflects its price appreciation. But the combined dollar-gold share remained stable at 65%–68%. Central banks have not abandoned the dollar; they have supplemented it with gold (Figure 6).

The dollar remains indispensable for interventions; gold is a hedge against extreme events such as sanctions. The Central Bank of the Republic of Türkiye proved this: after years of gold buying, when the lira came under pressure in

2026, it sold gold to obtain dollars for intervention. It could not use gold directly. Further, the yuan’s share remains marginal at around 1.5%, the euro has stagnated near 15%, and all other currencies combined have made only limited gains. This is therefore less a process of de-dollarisation than diversification within a resilient dollar-centred monetary order.

A second argument often cited in support of de-dollarisation is the declining foreign share of publicly held us Treasury securities. Figure 7 illustrates this: Figure 7a shows the amounts, while Figure 7b shows the shares.

While total foreign holdings of us Treasuries reached a record \$9.2 trillion in 2025, the composition shifted. Foreign official holdings peaked around \$4.2 trillion in early 2022 and have since declined modestly to \$3.9 trillion in 2025. The timing is not coincidental: the decline began after the us and its allies froze Russian central bank assets following the invasion of Ukraine.

In response, some central banks have sought to diversify into gold. Figure 7 shows central bank gold reserves in metric tons. Prior to 2022, gold holdings fluctuated without a clear trend. After the freeze of Russian assets, however, gold purchases accelerated dramatically, with reserves rising from approximately 2,000 tonnes in early 2022 to over 4,300 tonnes by mid-2025.

The reported decline in us Treasury holdings may overstate the true extent of the shift, as China is known to hold a portion of its assets through European custodians, where they are attributed to those jurisdictions rather than to China. Moreover, a portion of what is recorded as foreign private holdings likely represents disguised official holdings, as central banks can place their reserves in custodial accounts that are not classified as official in the data.

Meanwhile, foreign private holdings have surged from \$2.0 trillion in 2015 to \$5.3 trillion in 2025, reflecting continued global demand for us dollar assets. The decline in the official share is therefore not de-dollarisation. It is a sanction hedge—a portfolio shift within the dollar system, not a currency substitution.

Figure 8 shows total foreign holdings of us securities, broken down into Treasury securities and “Other” securities (equities, corporate bonds, agency bonds). Total foreign holdings grew from \$4.3 trillion in 2002 to \$35.3 trillion in 2025. Notably, “Other” securities have consistently exceeded Treasury holdings throughout the period. The ratio of Other to Treasury holdings fell sharply during the 2008 financial crisis, as foreign investors fled riskier assets for the safety of Treasuries, but has since risen back to 2.9 in 2025. However, part of this rise reflects what Alan Greenspan famously called “irrational exuberance”—rising equity valuations rather than new net purchases. Adjusting for price appreciation would reduce the apparent growth of “Other” holdings. Nevertheless, the scale of foreign exposure to us securities has grown significantly since 2002, undermining the notion that the world is abandoning the dollar.

Figure 9 shows the growth of Euro-dollar loans and debt securities from 2000 to 2025, separately for global totals and for emerging markets. Total Euro-dollar debt grew from \$2.34 trillion in 2000 to \$14.25 trillion in 2025—a six-fold increase. Emerging markets’ share grew from \$0.78 trillion to \$4.35 trillion over the same period, remaining relatively stable at around 30% of the total. Notably, the Eurodollar market continued to expand through the 2008 financial crisis, the COVID-19 pandemic, and the 2022 monetary tightening, with only modest contractions. The total dipped from \$13.43 trillion in mid-2021 to \$12.71 trillion in early 2023, before resuming growth to \$14.25 trillion in late 2025. The resilience and sheer size of the Eurodollar market—\$14.25 trillion, larger than the gross domestic product of every country except the us and China—underscores the depth of offshore dollar demand. If de-dollarisation were underway, one would expect to see a contraction in these offshore dollar liabilities. Instead, they continue to grow.

Figure 10 shows the currency composition of international payments via SWIFT (Society for Worldwide Interbank Financial Telecommunication) from 2012 to 2026. The dollar’s share rose from 29%

in early 2012 to over 51% in March 2026. The euro’s share fell sharply from 44% to 21% over the same period. The pound sterling remained stable at around 7%, while the share of all other currencies (including the yuan) fluctuated between 16% and 23%. If de-dollarisation were occurring, one would expect to see the dollar’s share falling. Instead, it has risen. However, this data must be interpreted with caution. SWIFT captures only payments that use its messaging system. A growing share of renminbi transactions now bypass SWIFT entirely, flowing through China’s Cross-border Interbank Payment System (CIPS). Chinese sources claim that as much as 70% of cross-border yuan payments have left SWIFT. To the extent that this is true, the yuan’s true share of global payments is understated in SWIFT data, and the dollar’s share may be correspondingly overstated. Nevertheless, even adjusting for CIPS, the dollar remains the world’s dominant payment currency by a wide margin.

Conclusions

Our objective in this note was to examine two widely debated claims: the existence of a “petrodollar system” and the prospect of global de-dollarisation. On the first claim, evidence is clear. Oil has been priced and largely settled in dollars since the 1860s, when the us was the world’s dominant oil exporter. The 1974 us–Saudi agreement concerned the investment of surplus oil revenues, not the currency of oil sales. There never was a separate “petrodollar system” beyond the ordinary functioning of the dollar-based international payments and reserve system.

On de-dollarisation, the picture is more nuanced. The dollar’s share of global official reserves has indeed declined gradually over the past quarter-century. However, no other currency has emerged to displace it. The euro has stagnated, the yuan remains marginal, and gold’s rising share reflects a sanction hedge rather than a shift away from the dollar. Foreign holdings of us securities continue to grow, Eurodollar liabilities are at record levels, and the dollar’s share of SWIFT payments has risen. The

world is not at a point of global de-dollarisation. It has, however, entered a period of diversification within a still dollar-centred monetary order.

[Figures 1 to 10 accompanying this article are available on the EPW website.]

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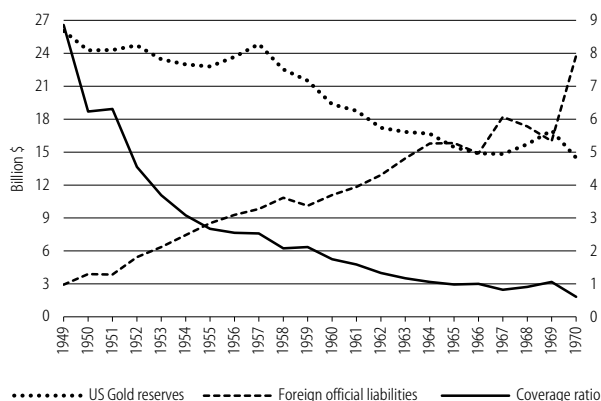
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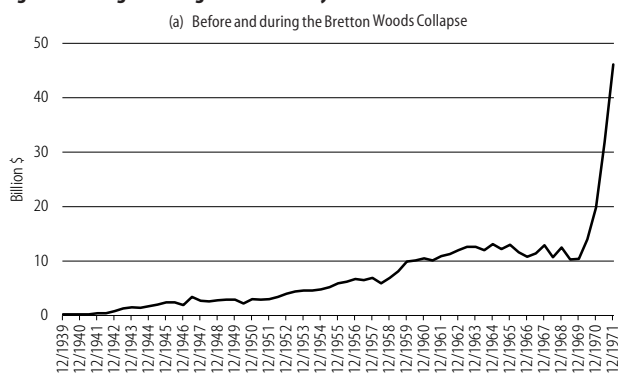
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Figure 1: US Share of Global Monetary Gold Stock

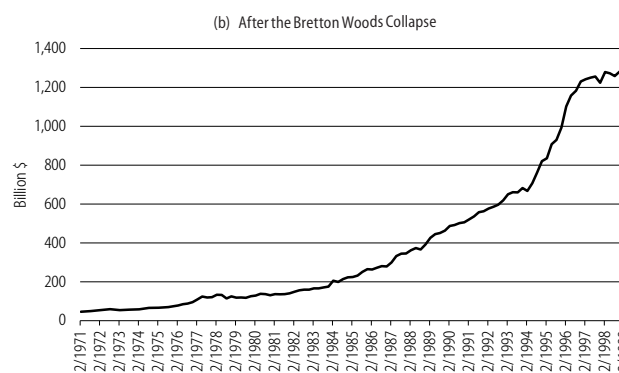
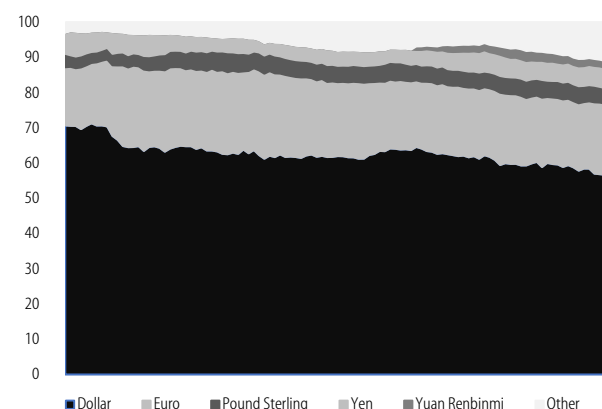
Source: Federal Reserve Bulletins.

Figure 2: US Gold Reserves and Foreign Official Liabilities

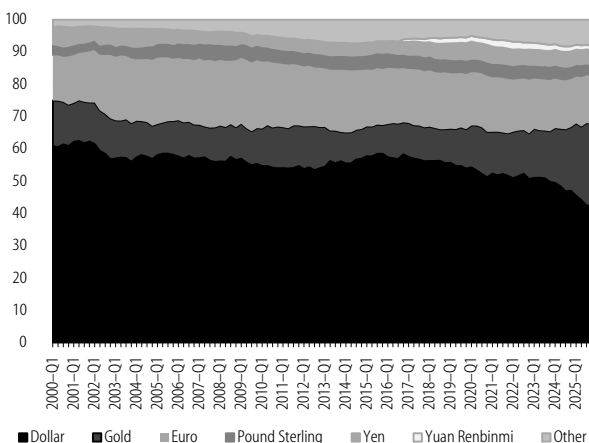
Source: FRASER.

Figure 3: Foreign Holdings of US Treasury Securities

Source: US Department of Treasury..

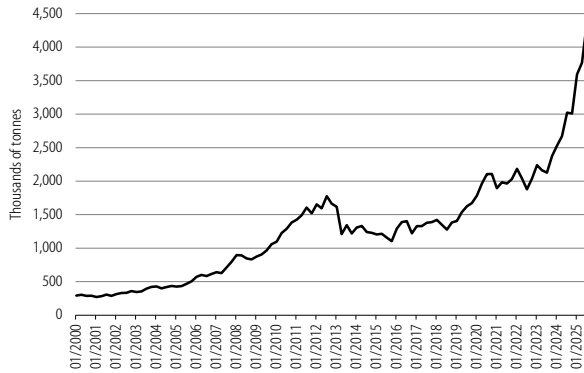
**Figure 4: Composition of Official Reserves Excluding Gold**

Source: IMF (COFER).

Figure 5: Composition of Official Reserves including Gold

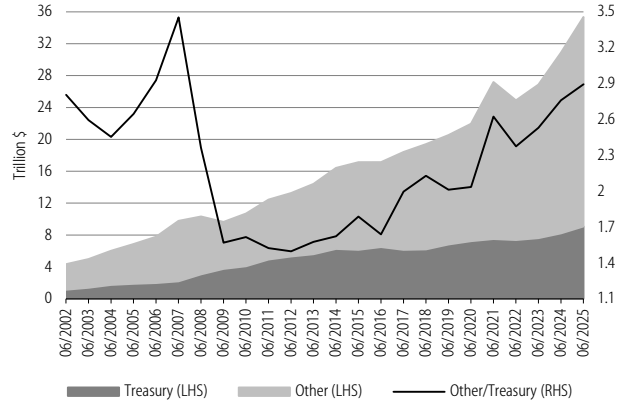
Source: IMF(COFER), World Gold Council.

Figure 6: Official Gold Reserves



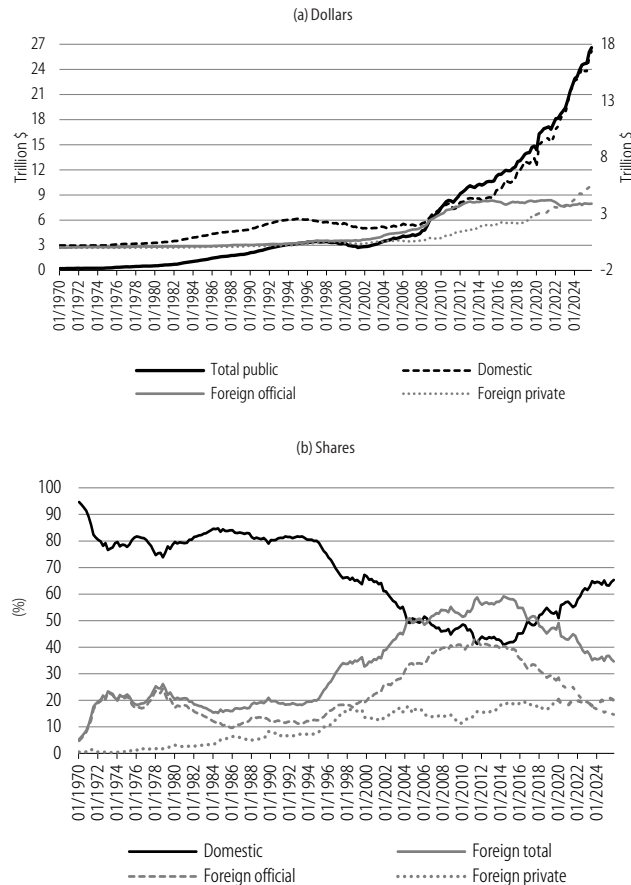
Source: World Gold Council.

Figure 8: Foreign Holdings of US Securities



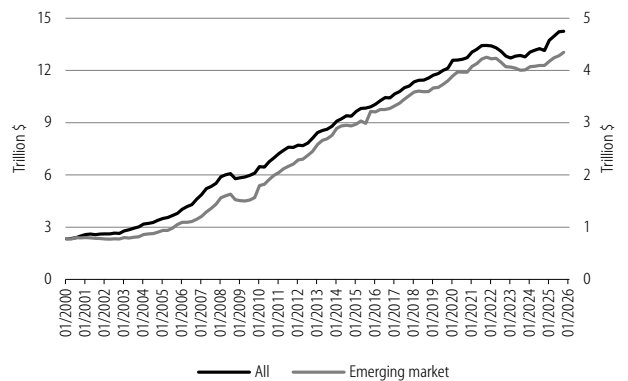
Source: US Department of Treasury.

Figure 7: Publicly Held US Treasury Securities



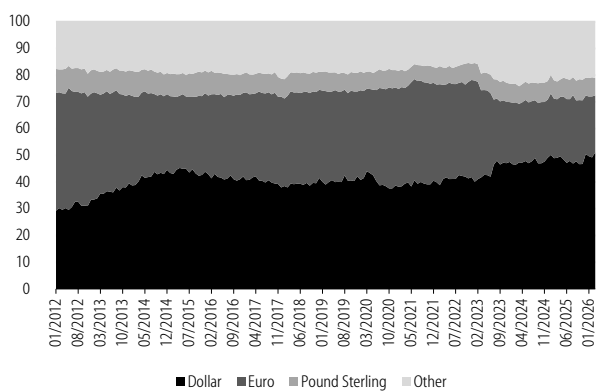
Source: FRED.

Figure 9: Eurodollar Loans and Debt Securities



Source: Bank for International Settlements.

Figure 10: Share of International Payments via SWIFT by Currency



Source: SWIFT.